

a pick-up in capital expenditure by the private sector, but those hopes were dashed by the imposition of import tariffs by the US last year.

Another reason for the exodus of foreign capital, some experts say, is that India is yet to offer credible investment options in the artificial intelligence (AI) and tech space. Over the past year, there has been a surge in investments in AI-related stocks and sectors. There are hardly any listed Indian firms in the space. So, those chasing AI went elsewhere.

Former finance secretary Subhash Chandra Garg notes that FDI chases profitable opportunities. “The biggest driver of FDI is future-ready technology and investment muscle. These allow FDI firms to invest in a country, sell to the domestic market and export if opportunities present themselves. Likewise, companies with financial muscle to capture the domestic market invest as is being done by tech companies that are building data centres,” he says.

At present, large investments are mainly focused in three broad categories, Garg adds—energy transition like solar and electric vehicles (EVs); digital technology like semiconductors, computers and chips; and AI-embedded machines. “In all these sectors, India does not have the technological prowess to attract investments,” he points out.

IRRITANTS REMAIN

Apart from the immediate worries, tax-related frictions, policy uncertainty and cumbersome procedures are seen to be deterring investors.

Experts note that investors look for three factors before investing in a country—transparency, consistency and predictability. They often find India lacking on all these counts. From ease of procuring licenses and registrations and even land, to tax policy and predictability,

TOP OUTWARD FDI DEALS

● Even before the recent Sun Pharma acquisition of Organon for \$11.75 billion in April, Indian firms have been on a buying spree abroad in recent years

INDIAN PARTY		OVERSEAS COUNTRY	VALUE (\$ BN)
1	 TATA MOTORS	SINGAPORE	2.3
2	 TATA COMMUNICATIONS	NETHERLANDS	1.1
3	 ASTER DM HEALTHCARE	MAURITIUS	0.9
4	 SAMVARDHANA MOTHERCON INTERNATIONAL	MAURITIUS	0.8
5	 JSW Energy JSW NEO ENERGY	SINGAPORE	0.7

SOURCE KOTAK INSTITUTIONAL EQUITIES

ty, these are all crucial factors while deciding on long-term investments.

One of the biggest pain points in terms of taxation is India’s capital gains tax. “While India offers large and expanding market opportunities, differences in tax treatment, including capital gains taxation applicable to FPIs as compared to certain competing jurisdictions, are influencing investment allocation decisions,” Kumar points out.

FPIs face a multitude of taxes, including a long-term capital gains tax of 12.5%, from April 1. Along with the securities transaction tax, they see this as a double whammy and have urged the government to reconsider them.

Rajiv Kumar, former Vice Chairman of NITI Aayog and Chairman of the think tank Pahlé India Foundation, says it’s a matter of rebuilding investor confidence. “Today, investors—foreign and domestic—are not confident of the country’s business environment and, hence, are not willing to put in money. While the government talks about ease of doing business, not much has changed on the ground,” he says. He points out that much of the improvement, in terms of ease of doing business, needs to be done at the state level. “Actual implementation of initiatives to ease doing business will help improve both FDI and domestic investments.”